1.1 Introduction

Student activity 1.1

Visit nearby petty shops. Observe for an hour. Do they record sale immediately after it takes place? Find out from the seller about how does he / she keep a track of the sales, expenses and profit.

Maintenance of accounting records as per double entry system is compulsory for certain organisations. For example, in India, companies must maintain accounting records under double entry system as per Section 128(1) of the Indian Companies Act, 2013. Such organisations must maintain accounts only under double entry system. Other organisations may or may not strictly follow the double entry system. Organisations in which double entry system is not strictly followed, accounting records may be maintained as per the requirements and desires of the proprietors and accountants. As the accounting records are not prepared in its entirety as under double entry system, these records are called incomplete records.

1.2 Meaning of incomplete records

When accounting records are not strictly maintained according to double entry system, these records are called incomplete accounting records. Generally, cash account and the personal accounts of customers and creditors are maintained fully and other accounts are maintained based on necessity.

Under this, some transactions are recorded fully, that is, for some transactions both the debit and credit aspects are entered. For example, both the aspects are entered for cash received from customers and cash paid to creditors. Some transactions are partially recorded, that is, only one aspect is entered. For example, expenses paid may be entered only in cash account. Some transactions are not recorded at all, that is, both the debit and credit aspects are not entered. For example, depreciation on fixed assets. Hence, these are usually called incomplete records.

It is an incomplete and unscientific way of book keeping. It was called single entry system of book keeping.

1.3 Features of incomplete records

Following are the features of incomplete records:

(i) **Nature**: It is an unscientific and unsystematic way of recording transactions. Accounting principles and accounting standards are not followed properly.

(ii) **Type of accounts maintained**: In general, only cash and personal accounts are maintained fully. Real accounts and nominal accounts are not maintained properly. Some transactions are completely omitted.

(iii) **Lack of uniformity**: There is no uniformity in recording the transactions among different organisations. Different organisations record their transactions according to their needs and conveniences.

12th-Accountancy-Unit-01.indd 2 1/4/2020 12:01:38 PM